

[Table 59.3](#) Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
5 (breakeven)	63 or 14%	285 or 18%	45 or 7%
10	69 or 29%	351 or 40%	94 or 22%
15	45 or 40%	265 or 56%	82 or 35%
20	37 or 48%	201 or 69%	68 or 46%
25	30 or 54%	154 or 79%	86 or 59%
30	27 or 60%	133 or 87%	71 or 70%
35	22 or 65%	72 or 91%	53 or 79%
50	45 or 75%	115 or 99%	100 or 95%
75	40 or 84%	21 or 100%	33 or 100%
Over 75	70 or 100%	0 or 100%	1 or 100%

For example, if your trading expenses are 5% and you want to make 10% on each trade (15% total), then over a third (35%) of the scallops in bear markets will fail to decline more than 15%. Optimistically, about two of every three trades will work on average, but that outcome depends on your trading skills and luck.

If the loss measures 10%, to offset the losing trade, your winners will have to make an average of 27%. As [Table 59.3](#) shows, 70% of the scallops fail to drop more than 30% after a downward breakout in bear markets. That statistic suggests you will have a very difficult time making your profit margin consistently.

[Table 59.4](#) shows breakout-related statistics.

Breakout direction. The vast majority of the breakouts will be downward.